

Environment Protection Act, 2019

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Environment Protection Act, 2076".

(2) This Act shall commence on the eighth day following the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Adaptation" means the assessment of potential impacts and risks of climate change and the prevention or mitigation of further harm or loss.

(b) "Emission" means the release of greenhouse gases or any other gases, smoke or dust into the environment from a specific area within a specific time period.

(c) "Fund" means the Environment Protection Fund referred to in Section 31.

(d) "Climate change" means a change of climate that is attributed directly or indirectly to human activity that alters the composition of the global atmosphere, in addition to natural climate variability observed over comparable time periods.

(e) "Climate change management" means the mitigation of or adaptation to problems arising from climate change, and said term also refers to holistic actions including related policies, strategies, institutional mechanism development, financial arrangements and capacity building.

(f) "Hazardous substance" means substances listed in the Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and Their Disposal, and substances with explosive, flammable, persistent and corrosive properties that adversely affect human health and the environment, and substances which, after processing from raw materials that are not reused, are being used for the first time.

(g) "Biological diversity" means ecosystem diversity, species diversity and genetic diversity.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(i) "Mitigation" means the reduction or prevention of greenhouse gas emissions caused by human activities.

(j) "Pollution" means any act that directly or indirectly alters the environment by waste, chemicals, heat, noise, electrical, electromagnetic waves or radioactive radiation, causing significant degradation, damage or harm to the beneficial or productive use of the environment.

(k) "Proposal" means a proposal prepared for the implementation of any plan, project or program involving development works, physical activities or land use changes capable of altering the existing environmental condition.

(l) "Proponent" means a person or a government, semi-government or non-government body or institution that submits an application for approval of a proposal or that obtains approval to implement a proposal.

- (m) "Initial Environmental Examination" means a study and evaluation carried out analytically to ascertain whether a proposal, upon implementation, will have significant adverse effects on the environment, and also regarding measures to be adopted to remedy or mitigate such effects.
- (n) "Supplemental Environmental Impact Assessment" means an environmental impact assessment conducted again upon a proposal submitted to partially modify the physical infrastructure, design or form, relocate or alter structures, add forest area, or increase the capacity of a project for which an environmental impact assessment report has already been approved once.
- (o) "Council" means the National Council for Environment Protection and Climate Change Management referred to in Section 32.
- (p) "Provincial Ministry" means the ministry of the provincial government dealing with environmental matters.
- (q) "Waste" means liquid, solid, gas, sludge, smoke, dust, radioactive substances or other similar materials discharged in a manner causing environmental degradation.
- (r) "Ministry" means the Ministry of Forests and Environment of the Government of Nepal.
- (s) "National Heritage" means any object, physical structure, place, flora or fauna related to the environment within Nepal that is considered important for humankind from a natural, cultural, historical, archaeological, scientific, spiritual, aesthetic or social perspective.
- (t) "Environment" means natural, cultural and social systems, economic and human activities, their components, and the interaction and interrelationship among those components.
- (u) "Environmental Study Report" means a report prepared in relation to a Brief Environmental Study, Initial Environmental Examination, or Environmental Impact Assessment.
- (v) "Environmental Impact Assessment" means a study and evaluation carried out in detail to ascertain whether a proposal, upon implementation, will have significant adverse effects on the environment, and also regarding measures to be adopted to remedy or mitigate such effects.
- (w) "Department" means the Department of Environment under the Ministry.
- (x) "Concerned Body" means the body referred to in subsection (2) of Section 3 that processes and decides on environmental study reports.
- (y) "Brief Environmental Study" means a study carried out briefly regarding measures to be adopted to remedy or mitigate adverse effects on the environment from the implementation of a proposal.
- (z) "Local Level" means a Rural Municipality or Municipality.

Chapter-2

Environmental Study

3. Environmental Study Report to be Prepared: (1) A proponent shall prepare an environmental study report as prescribed for a proposal as prescribed.

(2) The environmental study report prepared pursuant to subsection (1) shall, after completing the procedures as prescribed, be submitted to the following body for approval:

(a) In the case of a proposal relating to a national priority development project, a project approved for

investment by the Investment Board and to be implemented, a project of national pride, development construction works or projects falling within the jurisdiction of the Federation pursuant to prevailing law, a project requiring construction works in more than one province, or any project specified by the Government of Nepal ? if it is a brief environmental study or initial environmental examination, to the prescribed body, and if it is an environmental impact assessment report, to the Ministry;

(b) In the case of a proposal relating to development construction works or projects falling within the jurisdiction of the provincial government ? to the body specified by the relevant provincial law;

(c) In the case of a proposal relating to development construction works or projects falling within the jurisdiction of the local level ? if it is a brief environmental study or initial environmental examination, to the body specified by the relevant local law, and if it is an environmental impact assessment report, to the body of the provincial government specified by the provincial law.

(3) Notwithstanding anything contained in subsection (1) or (2), there shall be no bar to the approval, in accordance with the legal provisions in force at the time of their submission, of environmental study reports submitted for approval at the time of commencement of this Act.

(4) Notwithstanding anything contained elsewhere in this Section, an environmental study report shall not be required for the reconstruction in its original form of a heritage deemed to be an ancient monument pursuant to the law relating to ancient monuments.

(5) While preparing an environmental study report, the proponent shall conduct a public hearing as prescribed regarding the proponent.

(6) Other provisions relating to the submission of an environmental study report shall be as prescribed. 4.

Detailed Analysis of Alternatives Required: (1) In the environmental study report, the proponent shall carry out a detailed analysis of the various alternatives that may be adopted to mitigate the adverse effects that may occur on the environment upon implementation of such a proposal, and recommend among those alternatives the suitable alternative for implementing the proposal along with the basis and reasons for implementing that alternative. (2) While preparing the environmental study report pursuant to subsection (1), the proponent shall also mention the immediate, intermediate and long-term adverse effects that may occur on the environment upon implementation of the project, and the methods and procedures to be adopted for their mitigation. 5. Scoping and Terms of Reference: (1) Prior to preparing an environmental study report for a proposal pursuant to this Act, the terms of reference for a brief environmental study and initial environmental examination, and the scoping and terms of reference for an environmental impact assessment, shall be approved by the concerned body. (2) Other provisions relating to the preparation and approval of scoping and terms of reference pursuant to subsection (1) shall be as prescribed. 6. Standards and Quality to be Maintained: (1) While preparing an environmental study report pursuant to this Act, the proponent shall prepare it in the format as prescribed, ensuring compliance with the standards and quality determined by the Government of Nepal. (2) If a report is submitted contrary to the standards or quality pursuant to subsection (1) or without complying with such standards, the consultant preparing such report shall not be allowed to prepare an environmental study report for a maximum period of five years. 7.

Approval of Environmental Study Report: (1) Upon receipt of an environmental study report prepared in the context of implementing a proposal pursuant to Section 3, the concerned body shall carry out the necessary examination thereof. (2) For the purpose of examining and providing opinions and suggestions on the environmental study report received pursuant to subsection (1), the concerned body may form a committee

comprising a representative of that body, representatives of stakeholder bodies concerned with the proposal, and subject matter experts as required. (3) If, while examining the environmental study report received pursuant to subsection (1), it appears that further environmental study is required in relation to such proposal, the concerned body shall order the proponent to carry out or cause to be carried out an initial environmental examination in the case of a brief environmental study, or an environmental impact assessment in the case of an initial environmental examination. (4) The proponent shall carry out the further study pursuant to the order given under subsection (3) and submit its report to the concerned body. (5) If, upon examination pursuant to this Section, it does not appear that the implementation of such proposal will have significant adverse effects on the environment, the concerned body shall approve such environmental study report, imposing conditions as necessary to be complied with by the proponent. (6) Other provisions relating to the approval of an environmental study report shall be as prescribed. 8. Proposal Not to be Implemented: No person shall implement or cause to be implemented any proposal without the environmental study report being approved pursuant to this Act. 9. Strategic Environmental Analysis: (1) The Government of Nepal shall, before implementing policies, programs or projects specified by notification in the Nepal Gazette, carry out a strategic environmental analysis in relation to such policies, programs or projects. (2) Other provisions relating to the strategic environmental analysis pursuant to subsection (1) shall be as prescribed. 10.

Environmental Management Plan: (1) The proponent shall, before implementing the proposal, prepare an environmental management plan as prescribed. (2) While preparing the environmental management plan pursuant to subsection (1), the proponent shall also specify which of the measures for mitigating adverse environmental effects are to be adopted during the construction phase of the project and which after the completion of the project or during the implementation phase of the project. (3) If the measures for mitigating adverse environmental effects mentioned in the environmental management plan pursuant to subsection (2) are not found to be effective, the concerned body may give necessary directions to adopt other effective measures, and the cost incurred in implementing the directions so given by the concerned body shall be borne by the relevant proponent. (4) The proponent shall make a clear action plan for the implementation of the environmental management plan prepared pursuant to subsection (1) and implement it accordingly, and shall submit a progress report thereof to the concerned body every six months after the commencement of project implementation. (5) In implementing the environmental management plan pursuant to subsection (1), while adopting measures for mitigating adverse environmental effects, priority shall be given to conducting programs through the local community likely to be affected by the implementation of the proposal. 11. Supplemental Environmental Impact Assessment Required: (1) If it is necessary to make partial modifications to the physical infrastructure, design or form of a project whose environmental impact assessment report has been approved pursuant to Section 7, or to relocate or alter structures, or to add forest area, or to increase the capacity of the project, the proponent shall carry out a supplemental environmental impact assessment to ascertain whether such actions will have adverse effects on the environment and whether such effects can be remedied or mitigated by any measures. Added by Some Nepal Acts Amendment Act, 2062. Provided, however, that if the area of forest land or the number of trees to be cut as mentioned in the approved environmental study report decreases or increases by up to ten percent, a supplemental environmental impact assessment shall not be required.

In the case of such a decrease or increase in the area of forest land or the number of trees to be cut, the proponent shall give written information thereof to the concerned body. (2) For the purpose of carrying out a supplemental environmental impact assessment pursuant to subsection (1), the proponent shall submit an application to the concerned body, including the reasons for the need to alter the various components of the project, an analysis of the possible adverse effects on the environment resulting therefrom, a comparative

table according to environmental indicators, and other necessary substantiation. Provided, however, that if the concerned body has ordered the proponent to submit a supplemental environmental impact assessment study report, the proponent shall not be required to submit an application. (3) If, upon examination of the application received pursuant to subsection (2), the contents appear reasonable, the concerned body may grant permission for the supplemental environmental impact assessment study as prescribed. (4) Other provisions relating to supplemental environmental impact assessment shall be as prescribed. 12. Environmental Examination After Commencement of Service: (1) Amended by Some Nepal Acts Amendment Act, 2062. The Department or the prescribed body shall, within six months from the date of expiry of two years after the commencement of implementation of a proposal required to undergo an environmental impact assessment pursuant to this Act and the commencement of service or production or distribution of goods, keep an updated environmental examination report analyzing the adverse effects on the environment caused by the implementation of such proposal, the measures adopted to reduce such effects, the effectiveness of such measures, and any adverse effects that could not be mitigated or were not anticipated. (2) In relation to the environmental examination report pursuant to subsection (1), in coordination with the concerned body, Amended by Some Nepal Acts Amendment Act, 2062. the Department or the prescribed body may, after carrying out the necessary study, if the measures adopted to mitigate adverse effects on the environment are not found to be adequate, give appropriate orders to the proponent to remedy or mitigate such adverse effects. (3) It shall be the duty of the proponent to comply with the orders given by Amended by Some Nepal Acts Amendment Act, 2062. the Department or the prescribed body pursuant to subsection (2). 13.

Power to Prohibit: (1) If any person implements a project without approval of an environmental study report pursuant to this Act, or in a manner contrary to the approved environmental study report, the concerned body may immediately prohibit the implementation of such project. (2) If the implementation of a project is prohibited pursuant to subsection (1), the proponent shall not be entitled to claim compensation for any loss caused to the proponent by such prohibition. (3) Notwithstanding anything contained in subsection (1), if the proponent of a project whose implementation has been prohibited obtains approval of an environmental study report pursuant to this Act, or improves the implementation of the project in accordance with the approved environmental study report, the concerned body may revoke the prohibition imposed pursuant to subsection (1). 14. Government of Nepal or Provincial Government May Conduct Environmental Study: (1) The Government of Nepal or the provincial government may itself map any area or place and conduct an environmental study of that area. (2) On the basis of the details obtained from the study pursuant to subsection (1), the concerned body shall prepare details regarding development construction works or projects that may be conducted in such area in the future, and activities unsuitable for conduct in such area. (3) The concerned body shall keep records of the details obtained from the study pursuant to subsection (1) and the details pursuant to subsection (2). (4) The details pursuant to this Section shall be made public by the concerned body, and the relevant proponent, body and stakeholders shall act accordingly while submitting or implementing any proposal. Chapter-3 Pollution Control 15.

Pollution Control: (1) The Government of Nepal may, by notification in the Nepal Gazette, determine necessary standards for the mitigation or remediation of pollution from any vehicle, machine, equipment, industrial establishment, hotel, restaurant or other place or goods, or the effects from the release or emission of hazardous substances or any activity. (2) No person shall cause or permit pollution in a manner that significantly adversely affects human life, public health and the environment, or do or cause to be done any act contrary to the standards determined by the Government of Nepal pursuant to subsection (1). (3) No person or group going to the Himalayan or high hill region for mountain climbing, trekking, sightseeing or any other purpose shall do or cause to be done any act that causes pollution contrary to the standards

determined by the Government of Nepal and adversely affects the environment. (4) If any person appears to have adversely affected the environment by doing any act contrary to subsection (2) or (3), the Department may give directions to the concerned person, group or institution to adopt measures for pollution mitigation or remediation, impose necessary conditions, or prohibit the doing of any act that may adversely affect the environment. (5) If the use of any substance, fuel, tool, machine or equipment has or appears likely to have a significant adverse effect on the environment, the Department may submit a written report to the Ministry for necessary action. (6) Upon receipt of a written report from the Department pursuant to subsection (5), the Ministry may, after consulting with the concerned body or other stakeholders as necessary, prohibit the use of such substance, fuel, tool, machine or equipment, or the production, import, sale, distribution or storage of such materials, and a notice of such prohibition shall be published in the Nepal Gazette. (7) The Department shall, from time to time, monitor and evaluate compliance with the standards determined pursuant to subsection (1). (8) Other provisions relating to pollution control shall be as prescribed. 16.

Export and Import of Hazardous Substances: (1) Hazardous substances of any kind shall not be imported into Nepal. (2) Notwithstanding anything contained in subsection (1), the Government of Nepal may, by notification in the Nepal Gazette, specify specific types of hazardous substances that may be imported if they do not have a significant adverse effect on human health and the environment. (3) A producer of hazardous substances, or any person or institution established pursuant to prevailing law, may export hazardous substances with the permission of the Ministry. (4) The basis, standards and other provisions relating to granting permission to export hazardous substances pursuant to subsection (3) shall be as prescribed. (5) Hazardous substances imported contrary to this Act shall be sent back to the country from which they were imported. 17. Management of Hazardous Substances: (1) The responsibility for the management of hazardous substances shall lie with the person or institution producing such hazardous substances. (2) While collecting, storing, processing, selling, distributing, disposing or transporting hazardous substances, the concerned person or institution shall manage them properly so as not to adversely affect public health and the environment. (3) While managing hazardous substances pursuant to subsection (1), the concerned person or institution shall do so at its own expense. 18. Power to Establish Laboratory: (1) For conducting tests or examinations relating to environment protection and pollution control, the Government of Nepal or the provincial government may establish laboratories as required, or the Government of Nepal may designate any laboratory accredited by it to conduct tests or examinations relating to environment protection and pollution control. (2) Provisions relating to the operation and management of a laboratory established pursuant to subsection (1) shall be as prescribed. 19. Sample Collection to be Allowed: (1) If the concerned body wishes to study, test, examine or analyze pollution or waste emitted or likely to be emitted from any industry, factory, machine, vehicle or similar mechanical equipment, the relevant owner or concerned person shall allow the collection of samples of pollution or waste emitted from such industry, factory, machine, vehicle or similar mechanical equipment. (2) Other provisions relating to sample collection, study, testing, examination or analysis thereof pursuant to subsection (1) shall be as prescribed. 20. Power to Issue Pollution Control Certificate: (1) The Ministry or the provincial ministry may, as prescribed, provide a pollution control certificate to industries making significant contributions to pollution control. (2) Other provisions relating to the pollution control certificate shall be as prescribed. 21.

Environment Inspector: (1) An Environment Inspector shall monitor and inspect whether the activities required to be carried out pursuant to the environmental study report approved under Section 7 are being effectively performed, and whether standards relating to pollution and environment protection are being complied with. (2) Notwithstanding anything contained in subsection (1), in the absence of an Environment Inspector, the following bodies may designate the following officers or employees as Environment Inspectors

and deploy them for monitoring and inspection: (a) In relation to whether the activities required to be performed pursuant to an environmental study report under clause (a) of subsection (2) of Section 3, approved under Section 7, are being effectively performed, and whether standards relating to pollution and environment protection are being complied with ? the Ministry may designate an officer employee of the Government of Nepal or the provincial government; (b) In relation to whether the activities required to be performed pursuant to an environmental study report under clause (b) of subsection (2) of Section 3, or an environmental impact assessment report under clause (c) of subsection (2) of Section 3, approved under Section 7, are being effectively performed, and whether standards relating to pollution control and environment protection within its province are being complied with ? the provincial ministry may designate an officer employee of the provincial government; (c) In relation to whether the activities required to be performed pursuant to an environmental study report under clause (c) of subsection (2) of Section 3, approved under Section 7, are being effectively performed, and whether standards relating to pollution control and environment protection within its local level are being complied with ? the local level may designate any employee of the local level. (3) Other provisions relating to the Environment Inspector shall be as prescribed. 22.

Duties, Functions and Powers of Environment Inspector: (1) The duties, functions and powers of the Environment Inspector shall be as follows: (a) To inspect whether hazardous substances are being released or pollution is being caused contrary to this Act or the rules made under this Act; (b) To inspect whether activities to reduce, remove or control pollution are being carried out pursuant to this Act or the rules made under this Act; (c) To conduct site visits, inquiries and inspections in relation to whether work is being carried out in accordance with the conditions specified in the approved environmental study report while implementing the proposal; (d) To inspect whether the subject matter prohibited under Section 13 or 15 is being complied with. (2) While inspecting pursuant to subsection (1), the Environment Inspector may, after giving prior notice to the concerned person, institution or proponent, inspect, examine or inquire into any house, land, building, factory, industry, vehicle, industrial machinery, tool, machinery, livestock, goods, records, documents or other materials or objects. (3) It shall be the duty of the concerned person, institution or proponent to provide the details or information requested by the Environment Inspector in the course of inspection under this Section and to cooperate. (4) If, during an inspection under this Section, any person or institution does not allow the inspection, does not provide the details or information requested by the Environment Inspector, provides false details, creates obstruction or opposition during the inspection, or does not cooperate in the inspection, the Environment Inspector may immediately impose a fine on such person or institution as follows: (a) If inspection is not allowed or obstruction or opposition is created during inspection, Amended by Some Nepal Acts Amendment Act, 2082. from twenty thousand rupees to one hundred thousand rupees; (b) If the details or information requested during inspection are not provided, or false details are provided, or cooperation in inspection is not provided, Amended by Some Nepal Acts Amendment Act, 2082. from ten thousand rupees to fifty thousand rupees. (5) A party dissatisfied with the punishment imposed by the Environment Inspector pursuant to subsection (4) may file a complaint with the Director General of the Department within fifteen days from the date of knowledge of such punishment. (6) The Environment Inspector shall submit the report of the inquiry and inspection conducted under this Section to the concerned body and the Department. (7) Other duties, functions and powers of the Environment Inspector shall be as prescribed. Chapter-4 Provisions Relating to Climate Change 23.

Information to be Provided: (1) The Ministry shall, periodically as prescribed, conduct studies on the adverse effects and risks posed to local communities, ecological systems and biological diversity due to climate change and make the details public. (2) On the basis of the study conducted pursuant to subsection (1), the

Ministry shall, from time to time, make public necessary information regarding measures to be adopted for the mitigation of adverse effects or risks from climate change while formulating development projects to be implemented by the Government of Nepal, the provincial government and the local level. (3) On the basis of the information made public pursuant to subsection (2), the Government of Nepal, the provincial government and the local level may determine priorities for development project formulation. 24. Power to Prepare Adaptation Plan: (1) To avoid adverse effects and risks of climate change, the Ministry at the national level, the provincial ministry at the provincial level, and the local level at the local level may prepare and implement adaptation plans. (2) While preparing an adaptation plan pursuant to subsection (1), special priority shall be given to women, persons with disabilities, children, senior citizens and economically disadvantaged communities, and residents of geographical areas at higher risk from the impacts of climate change. (3) Local communities may prepare and implement adaptation plans at the local level, and the concerned body shall provide necessary support and facilitation for the implementation of such plans. 25. Power to Carry Out Mitigation Activities: (1) The Government of Nepal may identify sectors that emit greenhouse gases and determine their national reference levels. (2) The Ministry shall periodically monitor and make updated information public regarding the national reference level determined pursuant to subsection (1). (3) For mitigation, the Ministry, the provincial government and the local level may conduct necessary programs. (4) The Ministry may measure or cause to be measured greenhouse gas emissions. (5) Other provisions relating to mitigation shall be as prescribed. 26. Management of Impacts and Risks from Climate Change: (1) For the purpose of managing adverse impacts and risks of climate change, the Government of Nepal may, by notification in the Nepal Gazette, issue necessary orders regarding measures to be adopted for the mitigation of adverse impacts and risks of climate change in sectoral policies, strategies or action plans to be implemented by the Government of Nepal, the provincial government, the local level and other public bodies and the private sector. (2) While issuing an order pursuant to subsection (1), the Government of Nepal may specify priority areas. 27.

Power to Determine Technical Standards: (1) For determining priorities of subjects to be implemented in urban and rural areas regarding the mitigation of adverse impacts and risks of climate change, the Government of Nepal may determine and implement necessary standards. (2) For the development of technology required in specified thematic sectors for the mitigation of adverse impacts and risks of climate change, the Government of Nepal may determine necessary policy and technical standards. 28. Power to Participate in Carbon Trade: (1) The Government of Nepal may participate in carbon trade with mechanisms established by international treaties, foreign governments or institutions, commercial bodies or the private sector for reducing and sequestering carbon emissions. (2) Other provisions relating to participating in carbon trade pursuant to subsection (1) and the distribution of benefits derived therefrom shall be as prescribed. Chapter-5 Provisions Relating to Protection of National Heritage and Environment Protection Area 29. Protection of National Heritage: (1) It shall be the duty of all concerned to protect national heritage. (2) For the purpose of protecting national heritage, the stakeholder body shall prepare and maintain records, and such records shall also include objects or sites within Nepal that are on the World Heritage List. (3) Objects, sites, flora, fauna, environmental conditions, etc. included in the records pursuant to subsection (2) shall be protected as prescribed. 30.

Special Provisions Relating to Environment Protection Area: (1) The Government of Nepal may, after consultation with the provincial government and the concerned local level, by notification in the Nepal Gazette, establish an environment protection area for natural heritage or aesthetically important sites or sites of historical or cultural significance considered very important from the perspective of environment protection. (2) While constructing any road, building, river management, urban plan or any other physical infrastructure,

the Government of Nepal may, in coordination with stakeholder bodies, designate any specific area as an open or green area with the objective of protecting the environment of that area. (3) Within the environment protection area established pursuant to subsection (1) or the open or green area designated pursuant to subsection (2), certain activities as prescribed may be prohibited. (4) If, in any specific area or place, excessive environmental pollution, landslides, excessive exploitation of natural heritage or natural disaster occurs or is likely to occur, adversely affecting public health or the environment, the Government of Nepal may, in consultation with the concerned local level, designate such area or place as an environmentally sensitive area and issue any appropriate order for environmental balance, management or environmental restoration. (5) The Government of Nepal may designate a place where harmful or hazardous substances or waste are stored or disposed of, or a place where excessive environmental pollution has occurred due to other reasons, as a polluted area and prohibit the movement of the general public. (6) If environmental conditions improve in a place designated under subsection (4) or (5), such area may be removed from being a sensitive area or polluted area. (7) The local community may be involved in the management of an area established or designated under this Section for environment protection. Explanation: For the purposes of this Section and Section 36, "local community" means the community residing within or around such area. (8) The local community shall be involved as prescribed in the benefits derived from the management of the area managed pursuant to subsection (7). 31.

Establishment and Operation of Fund: (1) There shall be a fund called the Environment Protection Fund for the protection of the environment, prevention and control of pollution, climate change management, and protection of national heritage. (2) The following amounts shall be deposited in the Fund pursuant to subsection (1): (a) Amounts received from the Government of Nepal, the provincial government or the local level; (b) Amounts received from domestic persons or associations/institutions; (c) Amounts received from foreign governments or international associations/institutions. (3) Prior to receiving amounts under clause (c) of subsection (2), approval of the Ministry of Finance of the Government of Nepal shall be obtained. (4) The audit of the Fund shall be carried out by the Auditor General. (5) The operation of the Fund shall be as prescribed. 32. Power to Form Council: (1) There shall be a National Council for Environment Protection and Climate Change Management chaired by the Prime Minister to effectively conduct matters relating to environment protection and climate change at the national level. (2) The Council pursuant to subsection (1) shall consist of the following chairperson and members: (a) Prime Minister - Chairperson (b) Minister for Forests and Environment of the Government of Nepal - Member (c) Three ministers of the Government of Nepal specified by the Prime Minister - Member (d) Chief Ministers of all provinces - Member (e) Member of the National Planning Commission looking after environment - Member (f) Two persons, including one woman, nominated by the Chairperson from among professors of forest and environmental science - Member (g) Three persons, including two women, nominated by the Chairperson from among persons who have acquired expertise in the field of environment and climate - Member (h) Secretary, Ministry - Member-Secretary (3) The Chairperson may designate one minister among the members as Vice-Chairperson. (4) The term of office of nominated members under clauses (f) and (g) of subsection (2) shall be three years. (5) Notwithstanding anything contained in subsection (4), if a nominated member fails to fulfill the duties of the office, the Chairperson may remove him/her from the post of member at any time. Provided, however, that prior to such removal, a reasonable opportunity to present a defense shall be given to him/her. 33.

Meeting of the Council: (1) A meeting of the Council shall be held at least once a year on a date, time and place specified by the Chairperson of the Council. (2) The Member-Secretary of the Council shall, in consultation with the Chairperson, send a notice including the date, time, place of the meeting and the

agenda for discussion to all members at least forty-eight hours prior to the meeting time. Provided, however, that if it is necessary to call an urgent meeting of the Council, the Chairperson of the Council may call a meeting seventy-two hours in advance, and if a meeting is called in this manner, the Member-Secretary of the Council shall send a notice thereof to all members as soon as possible. (3) The presence of a majority of the total number of members shall be deemed to constitute a quorum for a meeting of the Council. (4) The meeting of the Council shall be presided over by the Chairperson of the Council, and in the absence of the Chairperson, by the Vice-Chairperson of the Council. (5) Decisions of the Council shall be made by a majority vote, and in the case of a tie, the Chairperson shall cast the deciding vote. (6) In a meeting of the Council, any office bearer, representative of the concerned body or association/institution, or environment expert may be invited as required. (7) Decisions of the Council shall be certified by the Member-Secretary of the Council. (8) Other procedures relating to meetings of the Council shall be as determined by the Council itself. 34. Duties, Functions and Powers of the Council: The duties, functions and powers of the Council shall be as follows: (a) To give directions as necessary to the Ministry and other bodies to progressively integrate environment and climate change related matters into long-term policies, plans and programs; (b) To formulate policies for the development of national systems for pollution control, waste management and national heritage protection; (c) To provide necessary policy guidance to the provincial and local levels in matters relating to environment protection and climate change; (d) To manage and facilitate financial resources relating to environment protection and climate change; (e) To guide the Ministry for the use, management, development and protection of natural, cultural and physical resources and heritage; (f) To evaluate the work relating to environment protection and climate change. Chapter-6 Fines and Compensation 35.

Fines: (1) If any person does or causes to be done any of the following acts, the concerned body shall impose a fine as follows: (a) In the case of a proposal for which a brief environmental study report is required to be approved, if any proposal is implemented without approving such report or contrary to the approved report ? up to five hundred thousand rupees; (b) In the case of a proposal for which an initial environmental examination report is required to be approved, if any proposal is implemented without approving such report or contrary to the approved report ? up to one million rupees; (c) In the case of a proposal for which an environmental impact assessment report is required to be approved, if any proposal is implemented without approving such report or contrary to the approved report ? up to five million rupees. (2) If any person commits an act under subsection (1), the concerned body shall immediately stop such act and, if the environmental study report has not been approved, order that such report be approved pursuant to this Act, and if the act is contrary to such report, order that the act be rectified, and it shall be the duty of the concerned person or institution to comply with the order so given. 44. Power to make rules: The Government of Nepal may make necessary rules for the implementation of this Act. 45. Power to issue directives, procedures and standards: The Government of Nepal may issue and enforce necessary directives, procedures and standards, not inconsistent with this Act and the rules made under this Act. 46. Evaluation of implementation of the Act: After five years from the date of commencement of this Act, the Ministry shall conduct an evaluation of the impact of the implementation of this Act. 47. Repeal and saving: (1) The Environment Protection Act, 2053 (1997) is hereby repealed. (2) Any acts and actions performed pursuant to the Environment Protection Act, 2053 (1997) shall be deemed to have been performed under this Act. (3) Any petition or complaint filed before any body or official pursuant to the Environment Protection Act, 2053 (1997) and pending for consideration shall be decided in accordance with that same Act.